

short-term disaster. The same was true for countless other stocks in the October, 1987 market decline.

(A quick way to tell if a stock is overpriced is to compare the price line to the earnings line. If you bought familiar growth companies—such as Shoney's, The Limited, or Marriott—when the stock price fell well below the earnings line, and sold them when the stock price rose dramatically above it, the chances are you'd do pretty well. [It sure would have worked with Avon!] I'm not necessarily advocating this practice, but I can think of worse strategies.)